

7-1f Investor Psychology

While theories on price differences (PPP), interest rates and money supply, balance of payments, and exchange rate policies predict long-run movements of exchange rates, they often fall short of predicting short-run movements. It is investor psychology, some of which is fickle and thus very hard to predict, that largely determines short-run movements. Professor Richards Lyons at the University of California, Berkeley, is an expert on exchange rate theories. However, he was baffled when he was invited by a friend, a currency trader, to observe currency trading firsthand:

As I sat there, my friend traded furiously all day long, racking up over US\$1 billion in trades each day. This was a world where the standard trade was US\$10 million, and a US\$1 million trade was a “skinny one.” Despite my belief that exchange rates depend on macroeconomics, only rarely was news of this type his primary concern. Most of the time he was reading tea leaves that were, at least to me, not so clear ... It was clear my understanding was incomplete when he looked over, in the midst of his fury, and asked me: “What should I do?” I laughed. Nervously.

Investors—currency traders (such as the one Lyons observed), foreign portfolio investors, and average citizens—may move as a “herd” at the same time in the same direction, resulting in a

bandwagon effect (The effect of investors moving in the same direction at the same time, like a herd.)

. The bandwagon effect seemed to be at play in August 2014, when the Argentinean peso plunged against key currencies such as the US dollar, the euro, and the pound sterling. Essentially, a large number of individuals and firms exchanged the peso for the key foreign currencies in order to minimize their exposure to Argentina’s sovereign default (its second since 2001)—a phenomenon known as

capital flight (A phenomenon in which a large number of individuals and companies exchange domestic currency for a foreign currency.)

. This would push down the demand for, and thus the value of, the domestic currency. Then, more individuals and companies joined the “herd,” further depressing the exchange rate and worsening an economic crisis.

Overall, economics, politics, and psychology are all at play. The stakes are high, yet consensus is rare regarding the determinants of foreign exchange rates. As a result, predicting the direction of currency movements remains an art or, at best, a highly imprecise science.

What happened to the Argentinean peso when Argentina defaulted on its sovereign debt?

NORBERTO DUARTE/Getty Images

Chapter 7: Dealing with Foreign Exchange: 7-1f Investor Psychology

Book Title: WGU Economics

Printed By: Mike Benton (mbento6@wgu.edu)

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.